

SHARAD SAXENA

A WINNING COMBINATION Manmohan Singh with former PM P.V. Narasimha Rao, Mar. 1996

Manmohan's upbeat conclusion in 1991 was prescient. Exactly 10 years later, Goldman Sachs identified India as one of the drivers of global growth

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but it has remained relatively robust, averaging 7.5 per cent per year over the past 15 years.

During those strenuous years as finance minister, his wife Gursharan Kaur confided to Isher that in the mornings, when Manmohan was getting ready for work, he would often hum his favourite *shabad* (hymn) from the tenth guru: *Deh shiva bar mohe ihe, shubh karman te kabhoon na taroon; na daroon ari se jab jaye ladoon, nishchay kar apani jeet karoon* (Grant me this boon Oh God, from Thy Greatness. May I never refrain from righteous acts. May I fight without fear all foes in life's battle, with confidence and determination, claiming the victory)! For Manmohan Singh, his religion is an intensely personal matter. But Isher, who has observed him closely and enjoys singing the Gurbani herself, tells me that behind that gentle exterior is a Sikh who derives tremendous strength from the Gurbani.

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It is natural to ask how the credit for the reforms should be apportioned between Narasimha Rao and Manmohan Singh. The answer is not easy. Rao deserves full credit for choosing Manmohan Singh because of his acknowledged expertise to manage the economy and backing him throughout. Without that, there would have been no reforms. Rao also recognised that changes were necessary if India were to realise her full potential. Unlike most senior Congress politicians who were locked into old mindsets, he was pragmatic and willing to change. He was convinced of the need for reducing controls over private sector investment decisions and he led this process as minister for industry. However, I do not think he realised the importance of the full gamut of change needed to unleash the economy's potential. Trade liberalisation, the shift to a flexible exchange rate and reforms in the financial sector occurred largely because of Manmohan Singh's expertise and wisdom. He knew the interdependence of these reforms and orchestrated them skillfully. Dr Singh once told me that Rao had been very frank, telling him, 'Manmohan, go ahead and do what is needed and make a case for reforms both within the party and to the public. If the reforms succeed, I will claim my share of the credit. If they fail, you will be blamed.'

A few years after stepping down as PM, Rao was speaking at a book release function in New Delhi, and he was asked to comment on the relationship between a PM and a finance minister. He said the finance minister is in charge of designing and implementing economic policy, but he can be effective only with the backing of the PM. 'Without the prime minister's backing, the finance minister would be a zero,' he said. 'It is the prime minister's backing that puts a one before the zero, making it a 10.' It was neatly put. I had the distinct feeling that Rao had no desire to be recognised as the 'architect of the reforms' in the sense of formulating the details, certifying their technical soundness and publicly defending their need. Dr Singh did all that with great aplomb, which made him the true architect of the reforms. But none of this would have happened if Rao had not backed Dr Singh and that is what Rao wanted acknowledged. It is an acknowledgement Rao fully deserves.